



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case is related to an automobile dealer which is operated in Mainland China. Its business model is based on the current industry practice. Certain specific facts have been built into the case to test the candidates' knowledge when auditing two specific accounts' inventories and provisions/accruals. The questions have a wide coverage which include risk assessment, substantive audit procedures, audit responses to a fraud incidence that was discovered after year end, and evaluation of independence threats.

Specific Comments

Question 1 – 12 marks

This question required candidates to propose substantive tests of details for the valuation assertion of the inventories, including the provisions for net realisable value. Candidates could generally answer this question well, however, some of them misread the questions and provided answers on test of controls and so were not awarded marks. The facts are provided in the case explanation meaning that candidates could generally answer this question if they read the case carefully.

Question 2 – 16 marks

This question required candidates to evaluate the risk of material misstatement for four types of provisions/accruals – provision for warranties, provision for penalties, accrued selling and marketing expenses and accrued sales incentives. These four accounts have different levels of management estimates involved, which would drive significantly how the auditors assess its risk. The candidates in general performed within expectation and demonstrated that they have knowledge to distinguish the risk assessment among the four accounts. Nevertheless, some of the candidates did not perform well because they could not articulate their assessment by making use of the specific facts in the case meaning that they could not score enough marks.



Question 3 – 12 marks

This question required candidates to advise the audit procedures to respond to a case of fraud where a branch manager falsified documents which caused a misappropriation of assets of the group. This question is set at a relatively higher difficulty. Although there were quite a lot of facts that the candidates could use, their answers were too general. Accordingly, not many candidates scored a satisfactory mark in this question. This reflected that the candidates did not have such experience in handling this type of incident.

Question 4 – 10 marks

This question required candidates to prepare a memo for reporting an issue relating an independence threat and proposing safeguard. The facts are simple and majority of the candidates are able to answer the question and also score the communication and analytical marks.

(II) Section B – Essay/Short Questions

General Comments

Section B covered a wide range of topics from corporate governance, IT audit, audit risk assessment at assertion level, audit procedures over investments and audit opinion. Apart from testing candidates' technical knowledge on these topics, the paper aimed to test candidates' business acumen and ability to apply the knowledge learnt to real life scenarios.

Specific Comments

Question 5(a) – 4 marks

This question required candidates to explain why the Audit Committee should play a key role in setting up and monitoring the whistle-blower system of a Hong Kong listed company with reference to the responsibilities of the Audit Committee as set out in the Corporate Governance Code to the Hong Kong Listing Rules ("CG Code").

Most candidates did not perform well in this question. Though many candidates did demonstrate knowledge of general responsibilities of the Audit Committee under the CG Code, they were unable to apply their knowledge to the question requirement, i.e., to explain why the Audit Committee should participate in the whistle-blower system.



Question 5(b) – 7 marks

This question required candidates to evaluate the effectiveness of the proposal suggested by the CEO and propose recommendations on improving the CEO's proposal.

Most candidates were able to point out that the proposal was ineffective. Some candidates were able to explain that the ineffectiveness was due to the conflict of interest of the CEO. However, most candidates failed to provide detailed recommendations on how to improve the whistle-blower system in order to score high marks.

Question 6 – 8 marks

This question required candidates to advise on whether they agree with the two statements set out in the question about audit procedures relating to IT general controls and explain their rationale on each statement.

The performance of the candidates in this question was fair. Some candidates scored high marks as they were able to point out and explain the appropriate audit approach and audit procedures to be performed in response to the two scenarios set out in the questions.

Question 7(a) – 10 marks

This question required candidates to evaluate the risk of material misstatements of both investments in terms of existence and valuation to the financial statements of DEF Limited.

The performance of the candidates in this question was satisfactory. The candidates who scored high marks were able to evaluate separately the risk of material misstatements of each assertion stated in the questions and provide a reasonable explanation with sufficient details.

Question 7(b)(i) – 5 marks

This question required candidates to propose and explain the appropriate type of auditor's opinion for DEF Limited's financial statements for the year ended 30 June 2022.

The candidates who performed well in this question were able to explain that a qualified opinion should be proposed in view of the facts provided in the question (i.e., the effects or possible effects of the matter concerned on the financial statements is material but not pervasive).



Question 7(b)(ii) – 6 marks

This question required candidates to prepare "Basis for Opinion" paragraph in the auditor's report for DEF Limited's financial statements for the year ended 30 June 2022.

The performance of the candidates in this question was fair. Some candidates could not score marks as they suggested a wrong opinion. However, it was also noted that some candidates did not attempt this question and some candidates provided very short responses to this question which may be due to the time allocation issue.

Question 8 – 10 marks

This question required candidates to propose audit procedures to address the risk of material misstatements in relation to the valuation of C&C's investment in XYZ.

The performance of the candidates in this question was fair. There were similar questions testing candidates' knowledge on audit procedures relating to valuation of assets in past examination papers. Candidates should be familiar with the topic. Candidates were required to suggest audit procedures which were responsive to the facts provided in the question in order to score high marks.

(III) Conclusion and Recommendation

Candidates in general performed well and could demonstrate their application of technical knowledge. Certain typical auditing issues were tested in this examination paper. Candidates demonstrated a good ability to apply technical knowledge on those questions with a straightforward fact pattern. However, when handling difficult topics, or specific and complex situations, like the fraud incident, candidates are in need of further improvement. This may be due to lack of practical working experience and lack of thorough understanding of the auditing standards and requirements.

In order to score high marks, candidates are always reminded to explain their rationale and propose audit procedures referencing to the facts provided in the questions. Candidates are also advised to pay attention to time management and should attempt all questions to the extent possible.